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Companies&Markets

www.afr.com | Monday 10 February 2025

FIRB delays put $800m renewable energy sale on brink of collapse

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The sale of five major solar farms valued at more than $800 million to a Chinese government-backed firm is close to collapse after failing to secure Foreign Investment Review Board approval for more than a year.

Lightsource bp, part of the British oil giant, agreed to sell a portfolio of renewable assets to Beijing Energy International Holding in December 2023. The transaction would have made the buyer, part of Beijing's investment arm, the largest owner of utility-scale solar projects in Australia.

But Lightsource bp said it was "considering all options" with the transaction held up by foreign investment regulators for almost 14 months.

The progress of the transaction is being closely watched by international investors. Chinese, French and Spanish companies have emerged as the biggest backers of local renewable energy projects, driving much of the development needed to meet ambitious fossil fuels reduction targets.

Lightsource bp had hoped that the sale of the 1037-megawatt portfolio of solar farms to Beijing Energy would allow it to invest in other projects. The deal, with an equity value of $813 million, was among big transactions over the past two years, largely driven by foreign investors lured by the country's ambitious renewable energy generation targets and funding initiatives.

Core to those is the Albanese government's target of 82 per cent renewables by 2030, which underpins Australia's international commitment to cut carbon emissions by 43 per cent by then from 2005 levels. The 2030 target is at risk of being missed, given the amount of new clean energy capacity lags well behind the required growth.

Now, foreign investment approval has emerged as another hurdle to reaching that goal, alongside fraught community tensions over large-scale wind, solar and transmission projects, lengthy planning delays and rising uncertainty over future policy for renewables before this year's election.

Asked about the delay, Lightsource bp said: "However, given the uncertainty with the extended FIRB timelines, Lightsource bp is considering all options. Our strategy around capital recycling remains unchanged."

A spokesman for Beijing Energy declined to comment.

The delays in the deal come as resources investors with links to China have already fallen foul of national interest concerns in relation to projects deemed strategically important for the country's energy transition.

Last year, Treasurer Jim Chalmers ordered Singapore-registered investor Yuxiao Fund to sell down its stake in ASX-listed explorer Northern Minerals over concerns about its links to China. In November, the West Australian Supreme Court delayed the annual meeting of another ASX-listed critical mineral explorer, Global Lithium Resources, to give FIRB more time to investigate allegations of covert Chinese influence on the company.

Making it more difficult for Hong Kong-listed Beijing Energy is last year's revamp in the foreign investment approvals process. As part of those changes, companies with a proven record in Australia, such as Canada's big pension funds, are given accelerated approvals. But extra assessments have been put in place for higher-risk proposals, like those from Chinese-government-backed groups wanting to invest in infrastructure or minerals.

The changes are a key element in the government's Future Made in Australia program – a plan which funds the expansion of skills and infrastructure needed to decarbonise the economy – and were needed to safeguard economic and national security, Dr Chalmers said in April.

However, the government was warned at the time that the changes could undermine green energy goals given China's strong position in solar panel technology, batteries and wind turbines, making it a valuable investor in new renewable generation.